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FX

FX Daily: Energy prices will keep dollar supported

It is a familiar theme now, but deteriorating news flow from the Gulf is keeping energy prices, short-dated yields and the dollar all relatively well bid. In fact, the dollar should probably be doing better than it is. In a relatively quiet week for data, expect investors to continue favouring energy-exporting currencies, including the dollar



Higher oil and natural gas prices are bringing continued support to currencies like the dollar and the Norwegian krone

USD: Dollar should be stronger

Events in the Gulf continue to re-escalate, pushing [energy prices meaningfully higher](#). We are particularly focused on natural gas prices, which are now very close to their March highs again. And there is increasing focus on refined products, such as diesel, where higher prices can only add to fears of inflationary pressures being handed down global supply chains.

It is slightly surprising not to see the dollar a little stronger. The DXY dollar index is still about 1% off its June highs. This probably owes to last week's soft June US CPI and PPI data, which has taken some of the sting out of the hawkish Federal Reserve story. Markets now only price about 40bp of Fed easing over the next nine months compared to the 55-60bp of tightening priced for the eurozone and the UK. However, higher energy prices mean that the Fed will have

to remain alert, and in this environment we struggle to see that any investors already owning dollars will be inclined to sell.

Instead, we can probably see pairs like USD/JPY push a little higher. It looks like Japanese authorities have opted not to intervene during today's Marine Day public holiday, and it would not be a surprise to see USD/JPY briefly break above 162.75/85 over coming sessions on the assumption that the Bank of Japan is a no-show on intervention.

It is a quiet week for US data, and away from the Gulf, the focus will be on big tech earnings again, where Alphabet reports tomorrow. Overall, we expect DXY to continue to find support near 100.50 and push back to the 101.30 area.

Chris Turner

↓ **EUR: Yield spreads give euro a brief reprieve**

With Brent back above \$90/bbl, we would have expected EUR/USD to be trading under 1.14. However, it may well be the tighter correlation between energy and short-dated euro swap rates that is proving a supportive factor for the euro. Here, as in March, higher energy prices have driven quite a sizeable narrowing in the EUR/USD two-year swap spreads. Two-year EUR swap rates are now trading at a new high for the year, while last week's US inflation data has left short-dated US rates off their highs.

We do favour EUR/USD moving back below 1.14 on these high energy prices, but we are cognisant of the risk of a surprise rate hike from the European Central Bank this Thursday. The [macro team's view](#) is that the ECB might take the opportunity of higher energy prices to get a second hike in earlier than September. That is more the risk than the baseline view, and instead, we suspect the run-up in energy prices can push EUR/USD back to 1.1380 this week.

Elsewhere, the high-yielding, energy-exporting Norwegian krone has come back bid after a little wobble last week. EUR/NOK losses can extend to the 10.95 area.

Chris Turner

→ **GBP: Burnham enters office**

Andy Burnham is set to succeed Keir Starmer as the UK Prime Minister later today. Sterling has been doing quite well recently on the view that Burnham will select a more fiscally responsible chancellor in the form of Shabana Mahmood – an announcement that will probably emerge today.

However, we think a larger part of sterling's strength owes to stale short sterling positioning, and we suspect some large M&A flows going through, where cheaper valuations have made UK equities an attractive proposition this year.

While we do not rule out a little further sterling strength during the Burnham honeymoon period, the UK's tight fiscal situation suggests a new cabinet will have to turn to tax increases if it wants to build out its plans to improve areas such as social care.

EUR/GBP has support at 0.8470, and 0.8400 might be the best-case for sterling this summer, but we would not chase the EUR/GBP move lower.

Chris Turner

📉 CEE: Risk-off pressure dominates a light regional calendar

Market attention remains focused on the US-Iran conflict, with global sentiment still the main driver for CEE. The regional calendar is relatively light this week, with few releases likely to challenge the broader global narrative.

In Poland today, industrial output, wages and PPI may offer insight into the conflict's impact and whether a National Bank of Poland rate cut remains a realistic prospect, as recently suggested by the central bank governor.

In Turkey, inflation expectations will be the final key release before Thursday's Central Bank of Turkey meeting, where we expect rates to stay at 37% and funding to remain at the upper end of the corridor. The Hungarian central bank is very likely to cut rates by 25bp to 5.75%, as signalled by the governor at the previous meeting. Forward guidance will be key, particularly on whether recent FX pressure has shifted the bank's view.

Poland will also publish labour market data on Thursday, followed by Czech consumer confidence on Friday.

Following the latest escalation in the US-Iran conflict before the weekend, with no clear signs of de-escalation, risk-off sentiment is likely to persist this week and keep CEE assets under pressure. In FX, the forint has been hit hardest, reflecting crowded long positioning and the prospect of further central bank easing. EUR/HUF traded around 363 on Friday, close to post-election levels. We think the pair should peak around current levels, as the fundamental story remains unchanged, and the sell-off looks primarily like a positioning adjustment and profit-taking.

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